

Acter (5536 TT)

 Target price: **TWD1,415.00**

 Share price (7 Oct): **TWD1,045.00** | Up/downside: **+35.4%**

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 **Buy**
 (initiation)

Initiation: acting on the demand for cleanrooms

- Key beneficiary of the cleanroom shortage in the high-tech industry
- Fast-growing order backlog likely to be realised over 2026-28E
- Initiating with a Buy (1) rating and a 12-month TP of TWD1,415

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Investment case: We initiate coverage of Acter, an established multinational cleanroom engineering, procurement, construction and management (EPCM) turnkey service provider, with a Buy (1) rating. Its core business includes cleanroom electromechanical engineering, water/gas/chemical delivery systems, and other cleanroom services. We believe now is a good time to revisit the stock as it underperformed the TAIEX Index by 32.7% in 3Q26, mainly on weaker-than-expected 2Q26 results and soft sector sentiment. Given its stronger revenue momentum over recent months and upcoming TSMC results on 15 October, which may drive sentiment, we suggest investors to buy the stock. We forecast a 24.6% revenue CAGR and 36.9% net profit CAGR over 2026-28E.

Intact global demand for cleanroom technology, the edge AI market, and rapid cleanroom expansion in Asia further support Acter's order backlog. Its backlog reached TWD66bn in July 2026 vs. TWD46bn in 2025 and TWD30bn in 2022 (15.3% 2022-25 CAGR), which largely outpaced the global cleanroom technology market's forecast CAGR over 2023-2032E, according to Precedence Research.

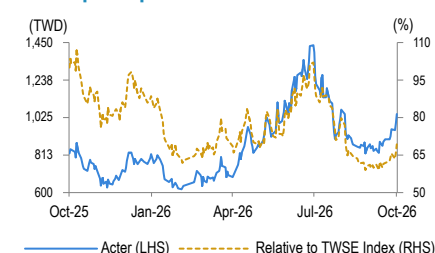
Strong competitive edge supports order share gains across multiple segments. Acter's competitive edge lies in 1) intelligent management enabled by digital twins and AI, using 3D building information modelling (BIM) and AI-driven digital twin management; 2) intellectualisation of green engineering, which comprises green design, green procurement, and green techniques; 3) experience across multiple industries (ie, data centres and electromechanical engineering for the consumer industry) which supports better integration; and 4) a complete network, enabling on-the-spot support. Acter believes it has the highest market share among the operators of three major US data centre players due largely to its capabilities in liquid cooling and its expertise in electromechanical and cleanroom engineering.

Catalysts: Near-term: project wins from key clients, supporting stronger monthly revenue momentum; mid- to long-term: an improving operating-margin trend and a resilient order backlog.

Valuation: We are the first non-domestic broker to cover Acter. We initiate coverage with a 12-month TP of TWD1,415, based on a target PER of 20x (equivalent to a 0.54x PEG over 2026-28E). We believe our valuation is fair, given Acter's strong earnings visibility, which we believe warrants a rerating. Our TP is supported by a DCF valuation of TWD1,454.

Risks: 1) weaker-than-expected expansion in the semiconductor industry; and 2) project delays or cancellations.

Share price performance



12-month range	618.00-1,435.00
Market cap (USDbn)	4.08
3m avg daily turnover (USDm)	31.93
Shares outstanding (m)	124
Major shareholder	Xiang-Hui Development (4.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	53,844	66,983	83,593
Operating profit (m)	9,853	13,598	18,014
Net profit (m)	6,325	8,797	11,851
Core EPS (fully-diluted)	50.788	70.635	95.161
EPS change (%)	79.3	39.1	34.7
Daiwa vs Cons. EPS (%)	(6.4)	(5.4)	n.a.
PER (x)	20.6	14.8	11.0
Dividend yield (%)	3.4	4.7	6.4
DPS	35.7	49.6	66.9
PBR (x)	9.3	7.2	5.5
EV/EBITDA (x)	11.6	8.3	6.1
ROE (%)	46.8	54.9	56.8

Source: FactSet, Daiwa forecasts

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How do we justify our view?

Buy
(initiation)

Growth outlook

✓ ✓ ✓ ✓ ✓

Valuation

✓ ✓ ✓ ✓ ✓

Earnings revisions

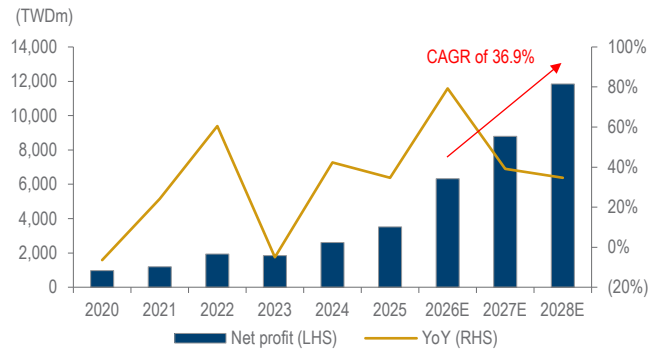
✓ ✓ ✓ ✓ ✓

Growth outlook

✓ ✓ ✓ ✓ ✓

We forecast Acter to record a 36.9% net profit CAGR over 2026-28E, on the back of a 24.6% revenue CAGR over the same period, driven by 1) larger project scale, as strong demand for cleanroom EPCM services from the high-tech sector is likely to support continued growth in Acter's order backlog and 2) improving gross margins and operating efficiency. We expect operating margin to expand by 2.0pp in 2027E and 1.3pp in 2028E, driven by favourable gross margins on new projects and operating leverage.

Acter: net profit and net-profit growth



Source: Company, Daiwa forecasts

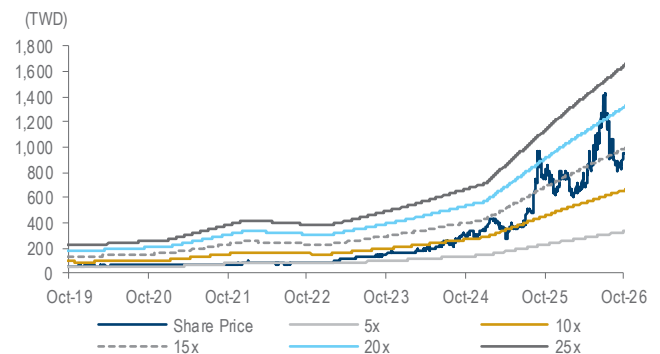
Valuation

✓ ✓ ✓ ✓ ✓

Our 12-month TP of TWD1,415 is based on a target PER of 20x, applied to our 1-year-forward EPS forecast. Our target multiple of 20x is higher than the stock's past-3-year 1-year-forward PER (12.2x) and past-5-year 1-year-forward PER (9.6x) and implies a PEG of 0.54x on our 36.9% net profit CAGR forecast over 2026-28E. We believe the stock deserves a re-rating in the next 12 months, largely supported by resilient cleanroom demand globally.

Our TP is also supported by an alternative DCF-derived valuation of TWD1,454/share.

Acter: 1-year-forward PER bands



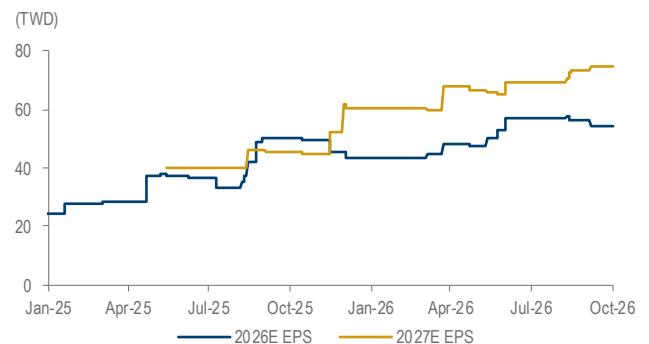
Source: Bloomberg, Daiwa forecasts

Earnings revisions

✓ ✓ ✓ ✓ ✓

Bloomberg consensus EPS estimates for 2026E and 2027E have risen 24.8% and 24.3% YTD, respectively. This is likely due to upward revisions to order backlog and earnings forecasts following better-than-expected industry outlook. We are the first foreign broker to cover Acter.

Acter: Bloomberg consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cleanroom eletromechanical revenue growth (%)	36.9	44.1	(19.0)	30.6	70.7	18.0	15.1	15.8
Water, gas and chemical delivery systems revenue growth (%)	58.5	35.0	11.0	14.8	(16.8)	67.7	46.7	40.4
Consumer industry electromechanical revenue growth (%)	55.2	32.4	(7.3)	5.7	(4.7)	78.7	38.8	33.1
Biomedical revenue growth (%)	(10.8)	83.7	(27.6)	(38.5)	68.0	52.5	8.3	33.1
High-tech equipment and materials sales and services revenue growth (%)	143.9	2.5	(54.0)	14.7	98.0	(44.9)	(5.5)	0.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cleanroom electromechanical	11,279	16,256	13,173	17,200	29,359	34,641	39,859	46,141
Water, gas and chemical delivery systems	5,915	7,985	8,861	10,174	8,467	14,198	20,829	29,253
Other Revenue	3,024	4,021	3,026	2,879	3,656	5,005	6,296	8,198
Total Revenue	20,217	28,262	25,061	30,254	41,482	53,844	66,983	83,593
Other income	0	0	0	0	0	0	0	0
COGS	(16,934)	(23,484)	(20,143)	(23,676)	(33,634)	(41,190)	(50,238)	(61,859)
SG&A	(892)	(1,121)	(1,292)	(1,616)	(1,718)	(2,369)	(2,646)	(3,093)
Other op. expenses	(252)	(335)	(362)	(555)	(427)	(431)	(502)	(627)
Operating profit	2,139	3,323	3,264	4,407	5,703	9,853	13,598	18,014
Net-interest inc./(exp.)	9	7	95	160	164	227	50	50
Assoc./forex/extraord./others	30	90	157	290	195	92	42	42
Pre-tax profit	2,179	3,420	3,516	4,857	6,062	10,172	13,690	18,106
Tax	(625)	(921)	(916)	(1,269)	(1,458)	(2,447)	(3,293)	(4,355)
Min. int./pref. div./others	(349)	(566)	(761)	(971)	(1,077)	(1,400)	(1,600)	(1,900)
Net profit (reported)	1,204	1,933	1,838	2,617	3,527	6,325	8,797	11,851
Net profit (adjusted)	1,204	1,933	1,838	2,617	3,527	6,325	8,797	11,851
EPS (reported)(TWD)	21.079	16.838	15.027	21.093	28.424	50.976	70.897	95.513
EPS (adjusted)(TWD)	21.079	16.838	15.027	21.093	28.424	50.976	70.897	95.513
EPS (adjusted fully-diluted)(TWD)	19.548	15.477	14.585	20.982	28.325	50.788	70.635	95.161
DPS (TWD)	15.034	8.823	6.087	10.000	14.500	35.683	49.628	66.859
EBIT	2,139	3,323	3,264	4,407	5,703	9,853	13,598	18,014
EBITDA	2,292	3,556	3,595	4,893	6,097	10,482	14,182	18,610

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	2,179	3,420	3,516	4,857	6,062	10,172	13,690	18,106
Depreciation and amortisation	123	144	174	196	199	537	542	554
Tax paid	(490)	(638)	(943)	(804)	(1,249)	(2,447)	(3,293)	(4,355)
Change in working capital	(1,809)	(1,544)	2,386	(2,536)	421	(2,122)	(1,006)	(1,946)
Other operational CF items	(82)	304	(775)	530	368	(227)	(50)	(50)
Cash flow from operations	(80)	1,686	4,358	2,244	5,801	5,913	9,883	12,309
Capex	(24)	(147)	(137)	(151)	(128)	(150)	(180)	(180)
Net (acquisitions)/disposals	(116)	(413)	(285)	(194)	(120)	(122)	(122)	(122)
Other investing CF items	(36)	22	4	21	35	0	0	0
Cash flow from investing	(176)	(537)	(418)	(324)	(213)	(272)	(302)	(302)
Change in debt	(231)	470	197	(80)	115	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(686)	(859)	(1,416)	(1,303)	(1,861)	(1,799)	(4,428)	(6,158)
Other financing CF items	(211)	1,883	(55)	127	(721)	0	0	0
Cash flow from financing	(1,128)	1,494	(1,274)	(1,256)	(2,467)	(1,799)	(4,428)	(6,158)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(1,384)	2,643	2,665	664	3,120	3,841	5,153	5,849
Free cash flow	(31)	1,228	4,900	1,403	5,141	5,763	9,703	12,129

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,699	6,411	8,951	9,899	12,996	16,838	21,991	27,839
Inventory	1,560	2,904	2,615	2,302	1,862	2,907	2,848	3,612
Accounts receivable	6,027	8,416	6,619	9,150	11,517	15,574	18,958	23,919
Other current assets	5,971	7,405	6,419	8,614	9,972	1,833	1,833	1,833
Total current assets	17,258	25,136	24,604	29,964	36,346	37,153	45,630	57,204
Fixed assets	573	690	768	833	890	4,464	4,101	3,728
Goodwill & intangibles	108	92	75	81	71	71	71	71
Other non-current assets	765	1,199	2,139	3,199	4,012	4,012	4,012	4,012
Total assets	18,704	27,117	27,587	34,078	41,320	45,700	53,814	65,015
Short-term debt	651	896	541	524	591	591	591	591
Accounts payable	6,568	8,708	7,727	9,454	11,676	14,657	16,975	20,754
Other current liabilities	2,554	4,893	4,977	6,160	8,199	7,403	7,403	7,403
Total current liabilities	9,773	14,497	13,245	16,138	20,467	22,652	24,970	28,749
Long-term debt	0	0	0	3	3	3	3	3
Other non-current liabilities	1,635	1,820	1,257	1,211	1,433	1,433	1,433	1,433
Total liabilities	11,408	16,318	14,502	17,351	21,902	24,088	26,405	30,184
Share capital	572	586	620	620	620	1,241	1,241	1,241
Reserves/R.E./others	5,063	6,998	8,191	10,350	12,499	12,673	16,870	22,391
Shareholders' equity	5,635	7,585	8,812	10,970	13,119	13,913	18,110	23,632
Minority interests	1,661	3,214	4,273	5,756	6,299	7,699	9,299	11,199
Total equity & liabilities	18,704	27,117	27,587	34,078	41,320	45,700	53,814	65,015
EV	128,278	127,364	125,527	126,048	123,561	121,120	117,566	113,618
Net debt/(cash)	(3,048)	(5,514)	(8,410)	(9,373)	(12,402)	(16,244)	(21,397)	(27,245)
BVPS (TWD)	98.613	66.063	72.041	88.411	105.729	112.132	145.957	190.453

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	44.6	39.8	(11.3)	20.7	37.1	29.8	24.4	24.8
EBITDA (YoY)	30.5	55.2	1.1	36.1	24.6	71.9	35.3	31.2
Operating profit (YoY)	25.8	55.3	(1.8)	35.0	29.4	72.8	38.0	32.5
Net profit (YoY)	24.2	60.5	(4.9)	42.4	34.8	79.3	39.1	34.7
Core EPS (fully-diluted) (YoY)	18.1	(20.8)	(5.8)	43.9	35.0	79.3	39.1	34.7
Gross-profit margin	16.2	16.9	19.6	21.7	18.9	23.5	25.0	26.0
EBITDA margin	11.3	12.6	14.3	16.2	14.7	19.5	21.2	22.3
Operating-profit margin	10.6	11.8	13.0	14.6	13.7	18.3	20.3	21.6
Net profit margin	6.0	6.8	7.3	8.7	8.5	11.7	13.1	14.2
ROAE	22.3	29.2	22.4	26.5	29.3	46.8	54.9	56.8
ROAA	7.1	8.4	6.7	8.5	9.4	14.5	17.7	19.9
ROCE	28.7	33.8	25.8	28.5	30.6	46.7	54.2	56.8
ROIC	50.5	50.9	48.5	54.1	60.3	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	28.7	26.9	26.1	26.1	24.1	24.1	24.1	24.1
Accounts receivable (days)	91.7	93.3	109.5	95.1	90.9	91.8	94.1	93.6
Current ratio (x)	1.8	1.7	1.9	1.9	1.8	1.6	1.8	2.0
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	71.3	52.4	40.5	47.4	51.0	70.0	70.0	70.0
Free cash flow yield	n.a.	0.9	3.8	1.1	4.0	4.4	7.5	9.4

Source: FactSet, Daiwa forecasts

Company profile

Established in 1979, Acter Group (Acter) is a leading engineering services provider specialising in cleanroom, electromechanical, and high-tech facility integration solutions for semiconductor, optoelectronics, biotech, green energy, and advanced manufacturing clients across Taiwan, China and the rest of the world. As of 2025, its revenue comprised cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).

Acting on the demand for cleanrooms

Why are cleanrooms a bottleneck in the high-tech industry?

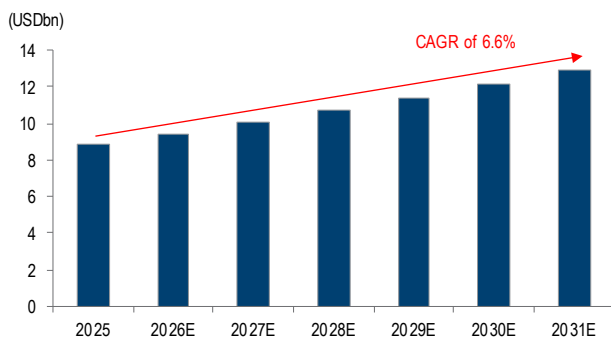
In recent years, cleanrooms have become a critical bottleneck for high-tech industries, especially semiconductor manufacturing, OSAT, AI hardware, and PCB, mainly because of its indispensable nature, severe supply-demand imbalance, labour shortages, and high technical and regulatory barriers.

Cleanrooms are a bottleneck in the high-tech industry, including semiconductor foundry, memory, and electronic assembling

Cleanrooms are an indispensable core infrastructure as they determine product yield and quality stability. Advanced manufacturing nodes in semiconductors, optoelectronics, and biopharmaceuticals require highly particle-free, constant-temperature, and constant-humidity environments to ensure reliable production. As process technologies continue to advance, such as 2nm node (or even newer nodes) and advanced packaging, existing cleanrooms must be rebuilt, and the complexity of building new ones thus increases. This keeps overall demand for cleanrooms at high levels.

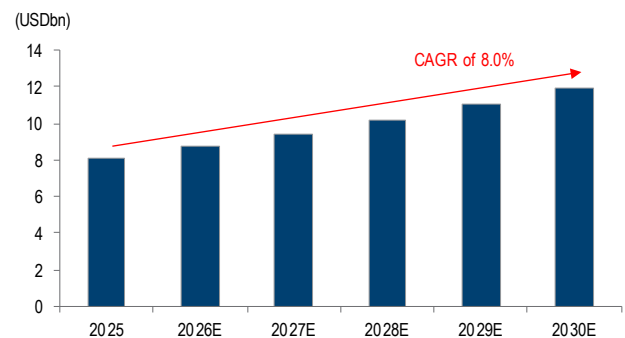
A severe global supply-demand imbalance with demand for cleanroom construction outpacing supply. The surge in AI servers, high-performance computing (HPC), and high-bandwidth memory (HBM) has triggered a global expansion for front-end wafer fabs, packaging and testing facilities, and PCB manufacturing. Order visibility remains extremely strong across the industry. According to Markets and Markets, the global cleanroom market size is set to expand at a CAGR of 6.6% over 2025-31E. At the same time, the global semiconductor cleanroom market size is set to grow at a CAGR of 8.0% over 2025-30E. For instance, Acter's order backlog exceeded TWD66bn at the end of July 2026, up from TWD46bn at the end of 2025, showing the urgency of demand for cleanroom construction.

Global: cleanroom market size and growth



Source: Markets and Markets

Global: semiconductor cleanroom market size and growth



Source: Markets and Markets

Human resources are an additional limitation to capacity growth. Cleanroom engineering is highly technical and labour-intensive, relying on specialised on-site installation and supervision that cannot be replaced by robots. At the same time, the industry faces severe labour shortages and an aging workforce, and younger generations are reluctant to join field operations. Cross-border staff deployment is also less cost-efficient than local hiring.

Cleanrooms involve complex system integration, creating high barriers to entry. A cleanroom construction includes 4 sequential phases, where each phase usually requires totally different areas of expertise. Therefore, the competitive landscape in each area differs. The process begins with **civil & structural (C&S) works** to establish the physical plant, followed by **mechanical, electrical, and plumbing (MEP) works** for essential utility generation, where Acter is one of the leading global experts. After MEP is finished, chemicals/gas/water are then distributed via **main systems** through primary piping network and finally delivered to production equipment through **hook-up systems**. As

global supply chains restructure under N+1 (domestic market + 1) strategies, companies building overseas facilities in places like the US face strict and complicated licensing processes, particularly on fire safety and hazardous chemicals. Without experience dealing with such engineering and safety issues, construction timelines can be severely delayed.

As a result, even with advanced equipment and chip designs, a high-tech company cannot begin production without adequate cleanroom space, skilled engineers, and system-integration capabilities. Therefore, cleanroom engineering contractors hold significant bargaining power and capacity allocation leverage in today's tech supply chain.

IC foundry

In the foundry sector, where the cleanroom supply-demand shortage is the tightest, project activity remains centred on advanced process capacity expansion in Taiwan and Arizona. Simultaneously, domestic advanced node development remains intense, with multi-phase fab builds advancing across Hsinchu, Taichung, and Kaohsiung. Local cleanroom and MEP integration demand is further boosted by advanced packaging facilities in Taiwan (such as Chiayi and Tainan) and upcoming projects in the US are set to contribute revenue for the cleanroom providers in the following years.

Memory

The memory segment is exhibiting robust momentum as well, mainly catalysed by HBM capacity additions. Projects such as the plant in Japan, transitioned to contribution for the cleanroom EPCM providers starting from 2026. In Taiwan, turnkey engineering contracts in Miaoli are also actively underway. This trend is reinforced by stronger-than-expected expansion activity from memory producers in China.

OSAT, PCB and ODM/OEM

For OSAT companies, demand is also surging due to the spill-over effect of advanced packaging protocols and N+1 supply chain restructuring. The OSAT names are expanding their footprint both in Southern Taiwan and in overseas locations including in the US and Southeast Asia. Major engineering contracts signed between OSAT clients and Acter show stable long-term workload for strong cleanroom demand over our forecast horizon. Similarly, overseas expansion for PCB manufacturing is peaking in Southeast Asia, especially in Thailand. We expect Chinese PCB players to also increase their capacity, just like memory companies in the past year. Except for front-end and back-end chip manufacturing, ODM/OEM and data centre infrastructure is also a key growth engine for the EPCM industry. Major Taiwanese ODMs are building production facilities in Texas and Mexico to meet local manufacturing needs. Cleanroom contractors, such as Acter, providing MEP and system integration in Texas are directly benefiting from these projects. The shift toward liquid cooling systems has also increased engineering complexity, favouring few cleanroom companies with the expertise to deliver complex integration for CSPs in both North America and Southeast Asia.

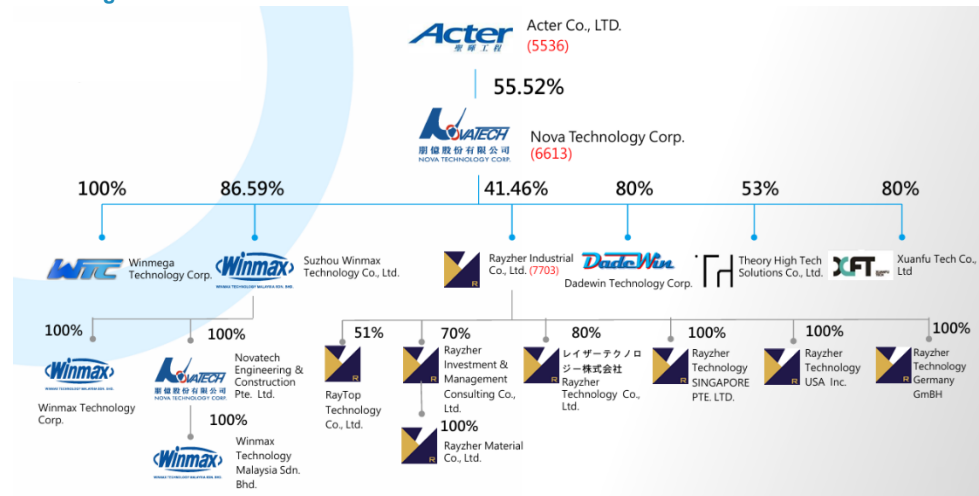
Acter: an integrated cleanroom solutions provider

Acter provides integrated cleanroom solutions via various subsidiaries

Acter Group (Acter), an integrated cleanroom solutions provider, maintains its competitive positioning within the high-tech cleanroom and MEP engineering sector, driven by its group synergy and global footprint. Acter operates as a comprehensive vendor through a group business model. The parent company, Acter, supervises overall cleanroom and MEP services, while subsidiary Nova Technology (Novatech, 6613 TT, not rated) mainly provides chemical primary system and hook-up, and Novatech's subsidiary Rayzher (7703 TT, not rated) provides gas primary system, hook-up and equipment. In China, Acter operates through Acter Technology Integration Group (603163 CH, not rated) and Suzhou Winmax (not listed) for Chinese EPCM (engineering, procurement, construction, and management) and equipment business. Except for C&S (civil and structural) works, where the margin is low (7-8%) and the contract duration is long, Acter's services span nearly the entire cleanroom construction process. Its one-stop solutions model supports customer retention

and improves bid-win rates, particularly for overseas expansion, where customers have few reliable providers to choose from.

Acter: organisational chart



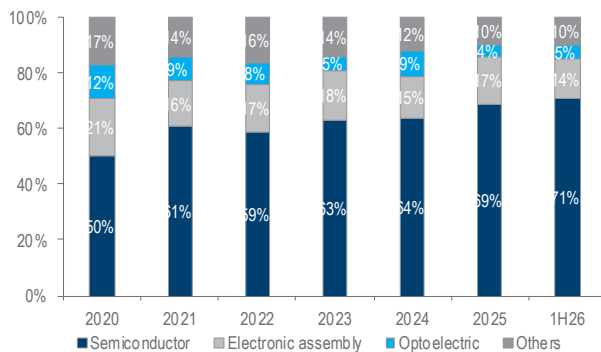
Source: Company, Daiwa

To avoid the risk of over-concentration, Acter diversifies its client portfolio across semiconductor foundries, memory, PCB, OSAT, ODM hardware assembly, CSP data centres and the consumer industry. By sector, semiconductor projects represent the largest share of Acter's portfolio, accounting for 66% of total revenue in 1H26, vs. 69% in 2025. Foundry manufacturing is the largest source of demand for cleanrooms in Taiwan, especially as advanced-node capacity expands at sites in Hsinchu, Taichung and Kaohsiung. In the memory segment, the company executes turnkey engineering builds to expand its capacity aggressively, creating cleanroom opportunities across Taiwan, Japan and Singapore. This multi-sector coverage decreases the risk of cyclical downturns in any individual segment, in our view.

Acter provides cleanroom services for numerous industries, across multiple regions

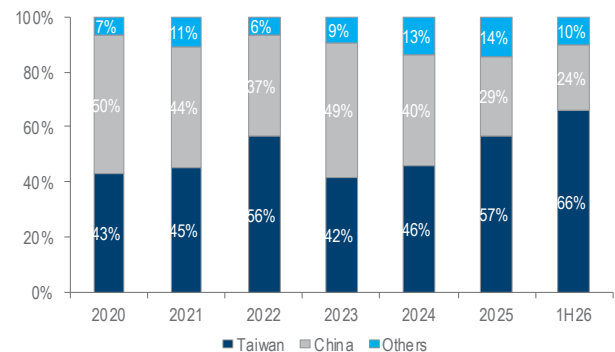
By establishing 33 operating entities across 11 international regions, the company effectively captures capex migration driven by global N+1 supply chain diversification. This allows Acter to support Taiwanese and international clients as they expand manufacturing capacity from Taiwan into Southeast Asia, Japan and the US. Due to the complexity of advanced-node IC manufacturing, packaging and testing, it is especially important for these Taiwanese semiconductor companies to work with familiar cleanroom builders when expanding in the US. This is one of the reasons why Taiwanese cleanroom companies are receiving overseas orders and starting to set up global bases, in our view. Despite higher management, material, and manpower costs in the US, most cleanroom companies are benefitting from the trend by improving margins, given the higher complexity and risks to operate overseas. Across overseas hubs in Texas and Phoenix (expected to begin from 2027), Acter prioritises local hiring and partners with regional civil contractors to shorten the learning curve and to avoid the high overhead. To further address the potential labour shortages in the future, the company has established cross-border academic and vocational partnerships to bring Southeast Asian talent to Taiwan for technical training before deploying them back to their home markets, securing future human capacity to support global expansion projects.

Acter: revenue by clients' industry



Source: Company, Daiwa

Acter: revenue by geography

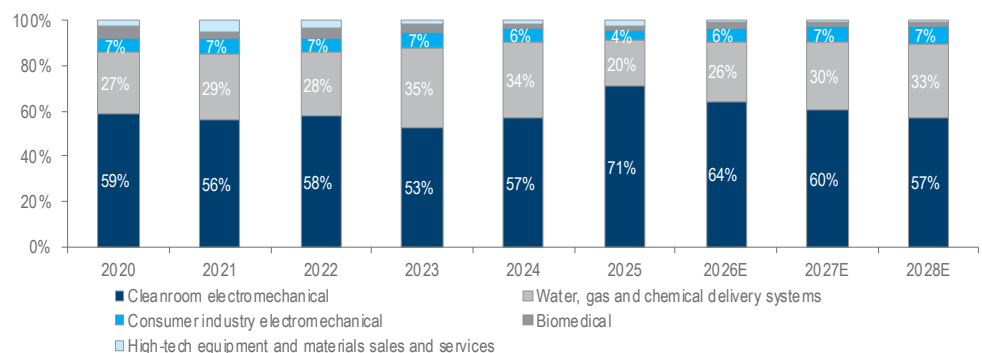


Source: Company, Daiwa

Semiconductor-related business in Taiwan is the major revenue stream for Acter

By product, cleanroom electromechanical services remain Acter's largest source of revenue (accounting for 66% of 1H26 revenue, per the company). These services include cleanroom architectural and MEP engineering, which powers airflow, filtration, environmental regulation and utility controls. Water, gas and chemical delivery systems are its second-largest source of revenue (accounting for 24% of 1H26 revenue, per the company). Contributed mainly by Novatech (6613 TT, not rated) and Rayzher (7703 TT, not rated), these services cover the main systems and hook-up systems, for ultra-pure water (UPW), specialty gases, chemical piping, etc., all of which require highly precise build-up work. Except for cleanroom electromechanical and water, gas and chemical delivery systems, the rest of Acter's revenue comes from the consumer industry services electromechanical (5%), biomedical (3%), and high-tech equipment and materials sales and services (1%).

Acter: revenue by product



Source: Company, Daiwa

Technically, Acter integrates digital transformation and green engineering into its business model, helping it differentiate from peers. Acter deploys digital twin technology and 1:1 3D BIM modelling to detect piping interferences and optimise spatial layout before installation, minimising schedule delays. This makes Acter a more reliable option, in our view, and thus being a favourable supplier, especially for the semiconductor clients that have extremely high quality and swiftness criterion.

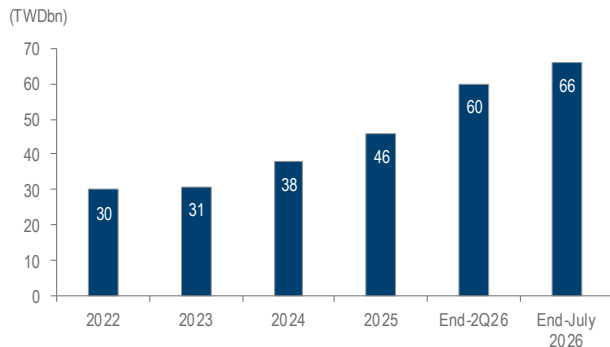
Bright outlook: strong order visibility

Rising orders on hand due to supply-demand imbalance for cleanrooms

Acter's order backlog has increased from TWD55bn in 1Q26 to TWD60bn in 2Q26 and TWD66bn in July 2026. We expect this figure to further increase in the following quarters, given the supply-demand imbalance in the cleanroom sector. This is composed of semiconductor (63%), electronic assembly (11%), consumer (9%) and others (17%), per the company. In 2H25, the company accelerated the digestion of small-scale projects below TWD1bn, and, as a result, starting from 1H26, it successfully shifted its project

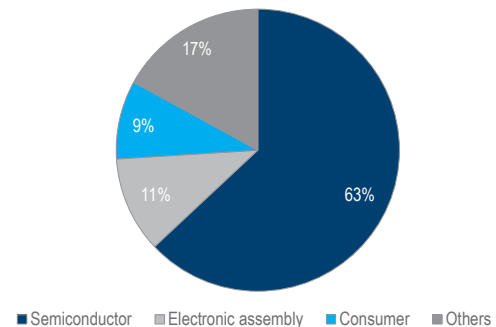
selection strategy to focus on large-scale projects valued at TWD1bn or above while reducing smaller contracts. This drives the growth in top-line.

Acter: order backlog



Source: Company, Daiwa

Acter: order backlog by clients' industry



Source: Company, Daiwa

OSAT customers have large order backlogs with Acter, which should drive future growth for the company

Back-end packaging, cloud infrastructure and hardware assembly are additional growth drivers. Acter serves as a contractor for both Taiwanese and overseas OSAT providers, including TWD21.7bn contracts YTD, awarded by a major OSAT client vs. TWD16.6bn contract obtained from the same client in 2025. In cloud infrastructure, Acter maintains qualified supplier status with US CSPs, providing mechanical, electrical and plumbing (MEP) integration, especially for those data centres that implement liquid-cooling systems. The company also wins factory construction projects for Taiwanese ODMs across the US and Southeast Asia, as well as PCB facility projects in Thailand and China. Non-tech sectors, including biotechnology, commercial buildings, smart logistics hubs and medical facilities, comprise 9% of the total backlog, per management.

Acter: contracts signed with one major OSAT client

Date of announcement	Type	Constructor	Amount (TWDm)
2026/1/7	EPCM	Acter	596
2026/1/16	EPCM	Acter	969
2026/1/22	EPCM	Acter	880
2026/2/23	EPCM	Acter	659
2026/4/15	EPCM	Acter	1,166
2026/4/27	EPCM	Acter	1,075
2026/5/6	EPCM & equipment	Acter	365
2026/5/19	EPCM	Acter	535
2026/5/27	EPCM	Novatech	947
2026/6/1	EPCM	Acter	550
2026/6/22	EPCM & equipment	Acter	349
2026/6/25	EPCM	Novatech	508
2026/7/2	EPCM	Acter	662
2026/7/8	EPCM	Acter	679
2026/7/13	EPCM	Acter	1,990
2026/7/20	EPCM	Acter	1,074
2026/8/5	EPCM	Acter	2,046
2026/8/5	EPCM	Novatech	714
2026/8/10	EPCM	Acter	841
2026/8/12	EPCM	Acter	582
2026/8/17	EPCM & equipment	Acter	389
2026/9/2	EPC	Acter	542
2026/9/17	EPC & equipment	Acter	462
2026/9/30	EPC	Acter	2,037
2026/10/1	EPC	Acter	1,055
Total for 2026 YTD			21,675
Total for 2025			16,554

Source: Companies, Daiwa

Competitive advantages

High entry barriers to the segment

The supply of cleanroom services is limited due to high entry barriers in the segment

Comprehensive product portfolio, empowered by subsidiaries

Acter provides a one-stop EPCM solution, leveraging its subsidiaries to deliver complete solutions. Within the group, the parent company Acter focuses on overall cleanroom and MEP system integration; subsidiary Novatech provides primary chemical systems and hook-up systems; and sub-subsidiary Rayzer specialises in primary specialty-gas systems and hook-up systems. In China, Suzhou Winmax, also a subsidiary of Novatech, focuses on the supply of wet processing and chemical handling equipment. This integrated model covers cleanroom engineering integration, water, power, chemical and gas-utility systems, as well as post-completion validation and maintenance, ensuring cross-system compatibility while mitigating risks associated with multi-contractor hiring.

Under global supply chain diversification trends, this unified group strategy strengthens order-winning capabilities in overseas markets. Clients expanding internationally face regulatory, linguistic and supply-chain complexities, favouring partners that offer one-stop services with a proven cross-border track record.

A diverse client base helps Acter weather economic cycles

Acter's main competitive advantage is its diversification of clients by industry and region. This guides the company through the peaks and troughs of the economy, which is especially crucial given the strong cyclicity of the semiconductor/high-tech industry. Acter serves a broad client base across semiconductors, OSAT, PCB, electronics assembly (ODM), CSP data centres, biopharmaceuticals and even the consumer industry (including commercial real estate and logistics), whereas many peers rely on a few large foundry clients. When semiconductor demand slows, capacity expansion in the PCB or data centre sectors offset the decline. Additionally, Acter avoids concentration risk and margin compression from major foundry accounts, as projects from leading foundries yield lower margins; by serving niche markets like US-based CSPs, the company achieves higher gross margins.

Geographically, Acter operates across Taiwan, China, Southeast Asia, the US and other countries. The company has OSAT and foundry customers in Taiwan and China, PCB clients expanding into Thailand, and ODM and data centre clients establishing operations in the US. Across different countries, local hiring and local supply chain implementation can further reduce costs and increase efficiency relative to peers reliant on a cross-border labour force.

Labour shortages

Amid global labour shortages, Acter minimises the operational impact and turns workforce constraints into a moat through localised talent development. Since engineering labour cannot easily be automated, Acter has built a cross-border talent pipeline via industry-academia partnerships. The company recruits Southeast Asian students for specialised M&E engineering training in Taiwan, deploying them to global project sites after their graduation to solve labour bottlenecks. This structure maintains an engineering team with an average tenure of more than 7 years, creating an operational barrier in an industry with a high employee turnover rate.

Compared with peers relying on high-cost personnel sent from Taiwan, we note that Acter's local hiring strategy creates cost and efficiency advantages. Prioritising compliant local hiring across overseas markets reduces travel expenses while accelerating integration with local supply chains and regulations. Localised teams also handle post-completion services and technical support directly on-site, building long-term client trust in overseas markets.

Numerous competitors, each with different specialisation

Some competitors, unlike Acter, lack a diversified client base

Acter faces different competitors across its main product lines. In the EPCM segment, including cleanroom and MEP works, key competitors include UIS (2404 TT, not rated), L&K (6139 TT, not rated), Yankey (6691 TT, not rated) and Jiuhan (6903 TT, not rated). Despite having business models similar to Acter, UIS, Yankey and Jiuhan focus more on major semiconductor players in both Taiwan and the US, and L&K concentrates on ASEAN semiconductor projects. In the equipment/material sales and agency space, Acter mainly competes with Marketch (6196 TT, not rated). In the water, gas and chemical delivery systems area, through Novatech and Rayzher, Acter group competes with Marketch, Mega Union (6944 TT, not rated), Taiwan Puritic (6826 TT, not rated), Trusval (6667 TT, not rated) and Cica-Huntek (6725 TT, not rated).

In our view, despite the competitive environment, Acter maintains a formidable competitive moat built on several key advantages. We attribute this to its more than 45 year experience in the industry, enabling it to develop specialised expertise that is hard for competitors to replicate.

Acter: peer comparison (cleanroom related)

Company	Ticker	Market Cap (USDm)	Market	Main thermal product	2025 Product mix	2025 Segment breakdown	2025 Market breakdown
Acter	5536 TT	4,070	Taiwan	EPCM turnkey solutions	Cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).	Semiconductor (69%), electronics assembly (17%), optoelectronics (10%), others (8%)	Taiwan (57%), China (29%), others (14%)
Novatech	6613 TT	708	Taiwan	Gas and chemical delivery systems and wet processing equipment	Equipment (46%), engineering (47%), eco-integration (7%)	Semiconductor (85%), optoelectronics (7%), others (8%)	China (50%), Taiwan (45%), others (5%)
Rayzher	7703 TT	225	Taiwan	Gas delivery systems	Hook-up systems (52%), primary system (28%), small-scale works (18%), equipment & material sales (3%)	Semiconductor, equipment and material providers, gas system providers, optoelectronics	Taiwan (99%), China & Japan (1%)
Acter Technology Integration	603163 CH	1,102	China	EPCM turnkey solutions	Cleanroom electromechanical (65%), other electromechanical (32%), equipment & material sales (2%)	Semiconductor (60%), precision manufacturing (34%), optoelectronics (2%), others (4%)	China (58%), others (42%)
UIS	2404 TT	7,957	Taiwan	EPCM turnkey solutions	System integration (100%)	Foundries, memory	Taiwan (67%), U.S. (25%), China (3%), Singapore (3%), Japan (1%)
L&K	6139 TT	5,820	Taiwan	EPCM turnkey solutions	Turnkey solutions (63%), electromechanical (25%), cleanroom builds (8%), delivery systems (4%)	Semiconductor (74%), railway/highway/airport (10%), MRT (7%), commercial (4%), energy (2%), expropriation (2%), others (1%)	ASEAN (59%), Taiwan (34%), China (7%)
Marketch	6196 TT	4,634	Taiwan	Gas and chemical delivery systems, Cleanroom equipment manufacturing/representative, EPCM turnkey solutions	Gas and chemical delivery systems (39%), representative for equipment (25%), equipment manufacturing (18%), turnkey solutions (18%)	Semiconductor (81%), optoelectronics (6%), others (13%)	Taiwan (45%), China (18%), U.S. (17%), others (20%)
Yankey	6691 TT	3,253	Taiwan	EPCM turnkey solutions	CSA (civil, structural & architectural), MEP (mechanical, electrical & plumbing), CR (cleanroom)	Semiconductor (58%), PCB (15%), optoelectronics (11%), data centres (6%), office (6%), electronic components (2%), others (1%)	Taiwan (89%), China (6%), others (5%)
Jiuhan	6903 TT	684	Taiwan	EPCM turnkey solutions	EPCM turnkey solutions (100%)	AI-related (83%), public works (17%)	Taiwan (100%)
Mega Union	6944 TT	2,842	Taiwan	UWS (ultrapure water systems), wastewater recycling, water treatment engineering	Water treatment engineering (80%), O&M/chemicals/consumables (20%)	Semiconductor and other high-tech industry	Taiwan (69%), U.S. (19%), Singapore (10%), China (2%)
Taiwan Puritic	6826 TT	1,223	Taiwan	Gas delivery systems	Gas primary system (83%), gas equipment (17%)	High-tech industry (100%)	Taiwan (73%), Americas (18%), Asia (9%)
Trusval	6667 TT	468	Taiwan	Water, gas and chemical delivery systems	Primary and hook-up systems (92%), eco-integration (4%)		Taiwan (96%), others (6%)
Cica-Huntek	6725 TT	253	Taiwan	Chemical delivery systems	Primary and hook-up systems (73%), system integration engineering (20%), system maintenance (7%)		Taiwan (87%), Asia (13%)

Source: Companies, Bloomberg, Daiwa

Financial analysis

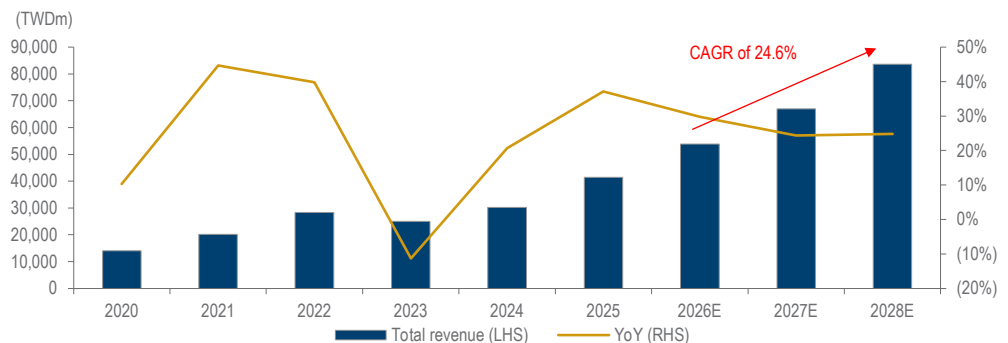
We forecast the company's net profit to rise at a CAGR of 36.9% over 2026-28E, driven by a revenue CAGR of 24.6% due to surging demand from the high-tech industry (an increase in the order backlog to TWD66bn at the end of July 2026 vs. TWD46bn at end-2025) and a 3.3pp expansion in operating margin over 2026-28E, driven by the gross margin improvement from more favourable project wins and operating leverage.

Strong order visibility, with revenue expected to grow across all sectors over 2026-28E

We forecast Acter's revenue to record a CAGR of 24.6% over 2026-28E

We forecast Acter's revenue to increase at a CAGR of 24.6% over 2026-28E, driven by scale expansion and a growing demand from various industries, including semiconductor, electronic assembly, optoelectronics and others.

Acter: revenue growth trend



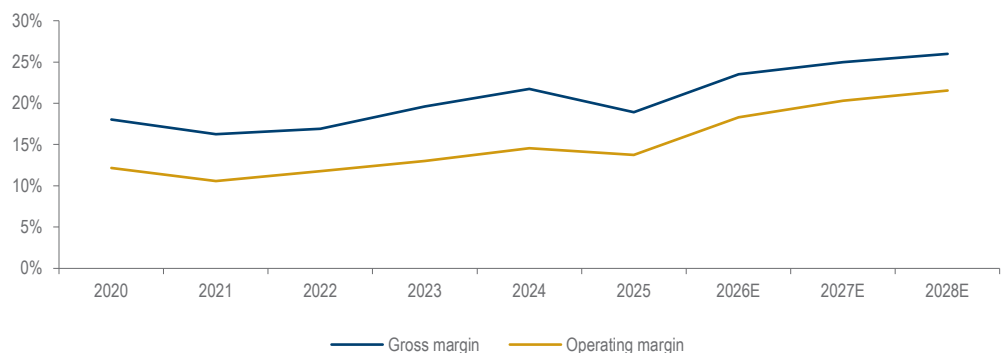
Source: Company, Daiwa forecasts

Gross- and operating-margin expansion trend

We forecast an upward operating-margin trend over 2026-28E

Over 2026-28E, we forecast Acter's gross and operating margins to expand on rising revenue scale and a higher complexity of cleanrooms for advanced manufacturing. We note that the gross margin from high-tech cleanrooms is higher than that from consumer industries, such as commercial buildings and biopharmaceuticals. Thus, we estimate the company's gross margin to reach 26.0% in 2028E from 18.9% in 2025 and its operating margin to reach 21.6% in 2028E from 13.7% in 2025.

Acter: gross- and operating-margin trend



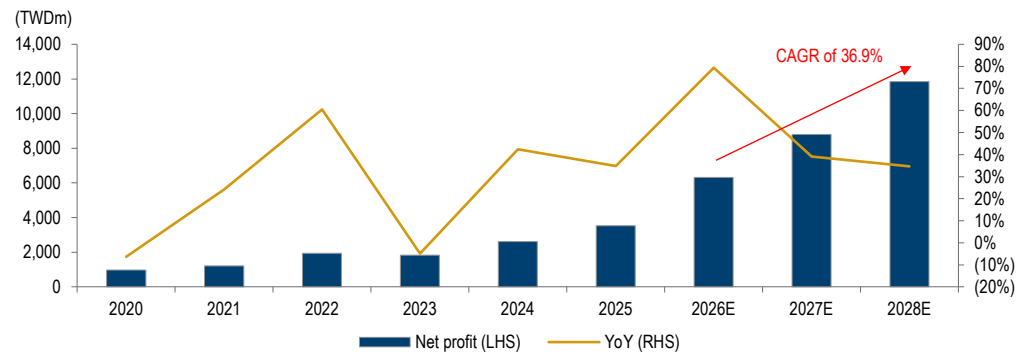
Source: Company, Daiwa forecasts

Net margin likely to rise over 2026-28E

We forecast a net profit CAGR of 36.9% for Acter over 2026-28E

We forecast Acter's net profit to rise to TWD8,797m in 2027E and TWD11,851m in 2028E (from TWD6,325m in 2026E). We expect its net margin to come in at 13.1% in 2027E and 14.2% in 2028E (vs. 11.7% in 2026E) and for its net profit to grow at a CAGR of 36.9% over 2026-28E.

Acter: net profit trend



Source: Company, Daiwa forecasts

Quarterly P&L

Acter: quarterly P&L

(TWDm)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	11,603	13,381	13,959	14,900	14,900	16,128	17,242	18,713
Gross profit	2,945	2,762	3,211	3,736	3,427	4,032	4,310	4,976
Operating profit	2300	2126	2499	2930	2697	3258	3517	4125
Profit before tax	2371	2232	2569	3000	2720	3281	3540	4148
Net profit	1583	1361	1547	1835	1786	2092	2269	2651
Basic EPS (TWD)	12.76	10.97	12.46	14.79	14.39	16.86	18.28	21.36
Margin								
Gross margin	25.4%	20.6%	23.0%	25.1%	23.0%	25.0%	25.0%	26.6%
Operating margin	19.8%	15.9%	17.9%	19.7%	18.1%	20.2%	20.4%	22.0%
Pre-tax margin	20.4%	16.7%	18.4%	20.1%	18.3%	20.3%	20.5%	22.2%
Net margin	13.6%	10.2%	11.1%	12.3%	12.0%	13.0%	13.2%	14.2%
YoY								
Revenue	35.6%	22.7%	26.4%	35.8%	28.4%	20.5%	23.5%	25.6%
Gross profit	91.7%	31.5%	63.1%	66.6%	16.4%	46.0%	34.3%	33.2%
Operating profit	124.6%	35.5%	58.3%	91.1%	17.3%	53.3%	40.8%	40.8%
Profit before tax	109.3%	45.8%	46.2%	82.8%	14.7%	47.0%	37.8%	38.3%
Net profit	146.3%	57.9%	51.6%	83.1%	12.8%	53.7%	46.7%	44.5%
QoQ								
Revenue	5.7%	15.3%	4.3%	6.7%	0.0%	8.2%	6.9%	8.5%
Gross profit	31.3%	-6.2%	16.3%	16.4%	-8.3%	17.7%	6.9%	15.4%
Operating profit	50.0%	-7.6%	17.5%	17.2%	-7.9%	20.8%	8.0%	17.3%
Profit before tax	44.5%	-5.9%	15.1%	16.8%	-9.3%	20.6%	7.9%	17.2%
Net profit	58.0%	-14.1%	13.7%	18.6%	-2.7%	17.1%	8.5%	16.8%

Source: Company, Daiwa forecasts

Intact demand to support revenue growth over our forecast horizon; ROE expansion underway

We expect stronger cash balances and FCF over 2026-28E due to better profitability

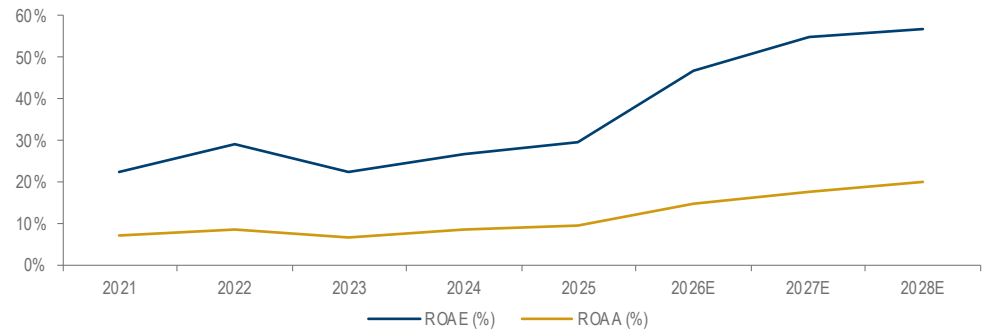
We forecast Acter's total cash and equivalents to reach TWD16,838m (36.8% of its total assets) in 2026E and increase to TWD27,839m in 2028E (42.8% of total assets) with net cash likely to come in at TWD16,244m in 2026E and TWD27,245m in 2028E.

After factoring in our 2027 and 2028 capex assumptions of TWD180m, we expect Acter's free cash flow (FCF) to improve to TWD12,129m in 2028E, from TWD5,763m in 2026E. We believe the capacity expansion cost will initially be low and that the company will continue to benefit from the better profitability.

Strong ROE outlook over 2026-28E

We expect Acter's ROE to improve to a record-high of 56.8% in 2028E from 29.3% in 2025 (following steady annual increases to 46.8% in 2026E and 54.9% in 2027E), which we attribute to margin expansion from the revenue size increase and gross margin expansion led by increases in cleanroom complexity.

Acter: ROAE and ROAA trend



Source: Company, Daiwa forecasts

Valuation and risks

Undemanding valuation, alongside its leading global positions in the OSAT and memory segments and an optimistic industry outlook

12-month TP of TWD1,415, based on a target PER of 20x

We initiate coverage of Acter with a Buy (1) rating and 12-month TP of TWD1,415, based on a target PER of 20x applied to our one-year-forward EPS forecast. This target multiple is higher than the average of its past-3-year 1-year-forward PER of 12.2x (ranged from 7.4x to 23.5x) and the average of its past-5-year 1-year-forward PER of 9.6x (ranged from 4.4x to 23.5x), which we view as undemanding as we forecast a 36.9% net profit CAGR over 2026-28E, implying a 0.54x PEG. This is supported by its business expansion in the next 2-3 years. We see potential for a rerating of the stock, given Acter's global leadership in cleanroom EPCM, particularly in the OSAT and memory industries.

The stock is trading currently at a 15.8x 1-year-forward PER vs. its earnings CAGR of 36.9% over 2026-28E, translating to a 0.43x PEG ratio. Its share price has underperformed TAIEX Index by 32.7% in 3Q26, mainly due to its weaker-than-expected 2Q26 results. However, given the potential improvement in sector sentiment following TSMC's results on 15 October 2026, along with the likelihood that Acter's revenue momentum will strengthen in the coming months, we recommend that investors buy the stock.

Acter: past-3-year-forward PER (average: 12.0x)



Source: Bloomberg, Daiwa estimates

Acter: past-5-year-forward PER (average: 9.5x)



Source: Bloomberg, Daiwa estimates

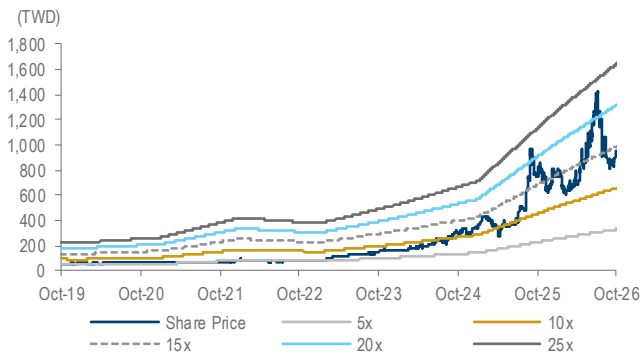
We compare Acter with other leading cleanroom EPCM companies such as UIS (2404 TT, TWD1,330.0, not rated), L&K (6139 TT, TWD787.0, not rated) and Yankey (6691 TT, TWD776.0, not rated). UIS, L&K and Yankey are trading at a PER of 14.7x (earnings CAGR of 40.7% over 2025-27E), 9.5x (earnings CAGR of 36.9% over 2026-28E) and 15.1x (earnings CAGR of 53.6% over 2025-27E), on their 1-year-forward EPS, respectively.

Stronger earnings growth outlook and more room to grow vs. peers

Acter's peers are trading at 18.7x for 2026E and 14.2x for 2027E. We forecast Acter to deliver an EPS CAGR of 36.9% over 2026-28E vs. 31.5% CAGR for the segment over the same period.

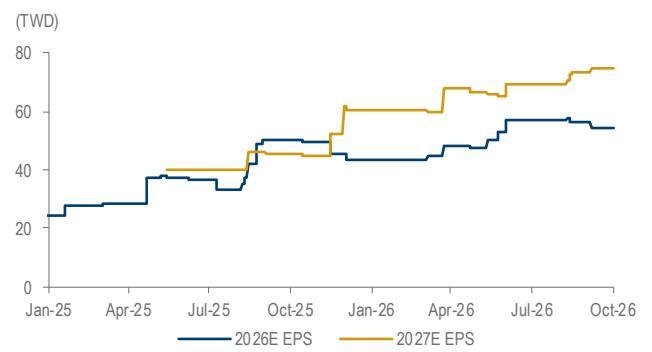
We believe our target one-year-forward PER of 20x (equivalent to a 0.54x PEG using 2026-28E EPS CAGR) is undemanding as: **1) Acter is ramping up capacity to meet growing demand from high-tech customers and is in an expansion cycle; and 2) its leading position among OSAT and memory clients warrants a valuation premium, compared to its global peers.**

Acter: 1-year-forward PER bands



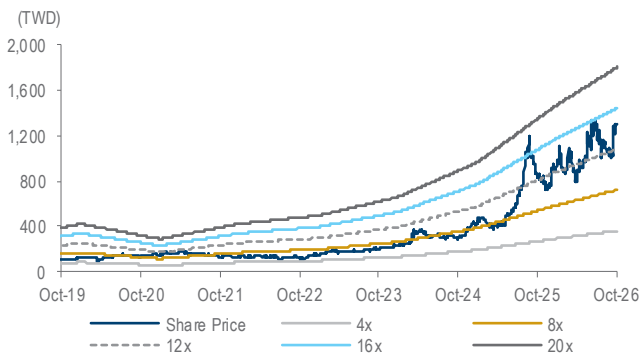
Source: Bloomberg, Daiwa forecasts

Acter: earnings revision trend



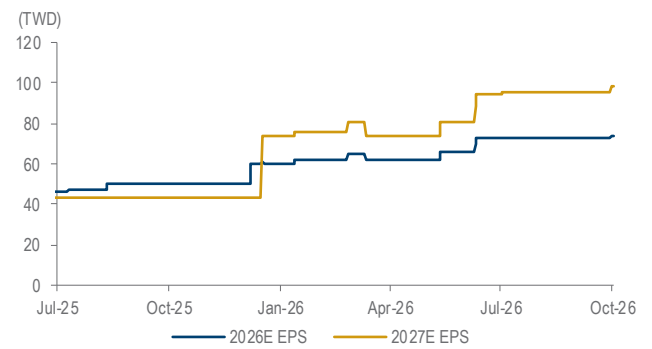
Source: Bloomberg, Daiwa

UIS: 1-year-forward PER bands



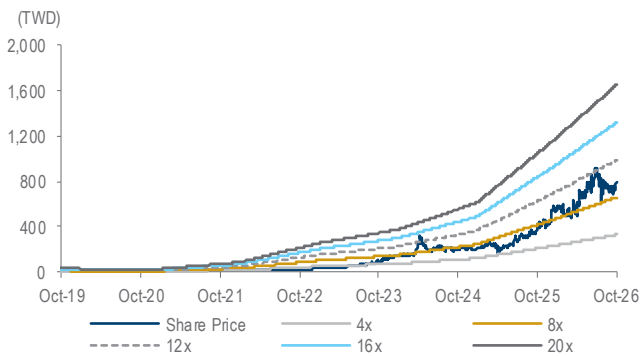
Source: Bloomberg, Daiwa forecasts

UIS: earnings revision trend



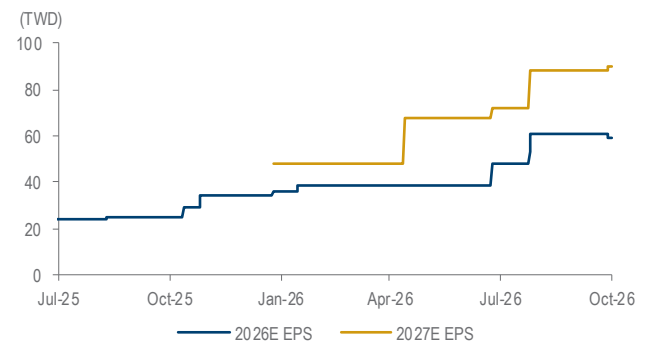
Source: Bloomberg, Daiwa

L&K: 1-year-forward PER bands



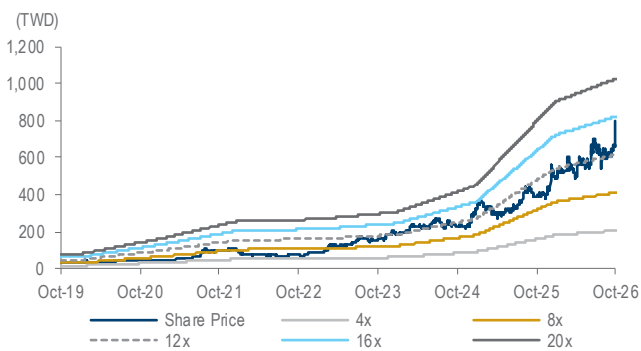
Source: Bloomberg, Daiwa forecasts

L&K: earnings revision trend



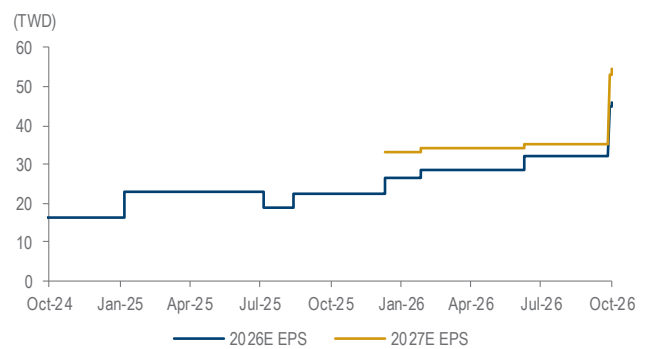
Source: Bloomberg, Daiwa

Yankey: 1-year-forward PER bands



Source: Bloomberg, Daiwa forecasts

Yankey: earnings revision trend



Source: Bloomberg, Daiwa

Acter: peers valuation comparison

	Bloomberg	Price (lc)	Daiwa	Market cap	D. turnover	PER (x)			EPS CAGR	ROE (%)			PBR (x)			Dividend yield (%)		
Companies	code	7/10/26	rating	(USDm)	(USDm)	2026E	2027E	2028E	2026-28E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Acter*	5536 TT	1,045.0	Buy	4,070	33.4	20.6	14.8	11.0	36.9	46.8	54.9	56.8	9.3	7.2	5.5	3.4	4.7	6.4
Novatech	6613 TT	290.0	Non rated	708	3.8	15.5	11.6	8.1	38.4	27.9	34.3	n.a.	n.a.	n.a.	n.a.	5.1	6.8	n.a.
Rayzher	7703 TT	206.0	Non rated	225	0.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Acter Technology Integration	603163 CH	73.9	Non rated	1,102	9.6	33.8	22.3	17.6	38.5	17.0	22.4	24.9	5.7	4.9	4.2	1.6	2.4	3.7
UIS	2404 TT	1,330.0	Non rated	7,957	68.0	17.9	13.5	11.0	27.7	56.0	48.0	47.3	n.a.	n.a.	n.a.	4.6	5.5	n.a.
L&K	6139 TT	787.0	Non rated	5,820	81.6	13.3	8.8	7.1	36.9	64.0	64.1	n.a.	n.a.	n.a.	n.a.	5.2	8.3	n.a.
Marketech	6196 TT	670.0	Non rated	4,634	27.8	23.5	20.5	19.3	10.4	34.5	32.3	30.2	7.2	6.1	5.4	2.3	2.6	2.6
Yankey	6691 TT	776.0	Non rated	3,253	16.8	16.9	14.2	n.a.	n.a.	67.2	62.1	n.a.	8.6	5.5	n.a.	4.9	5.8	n.a.
Jiuhan	6903 TT	327.0	Non rated	684	4.7	9.8	7.4	n.a.	n.a.	46.9	42.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Mega Union	6944 TT	908.0	Non rated	2,842	12.2	22.9	18.2	n.a.	n.a.	44.1	46.0	n.a.	6.6	8.2	n.a.	2.7	3.2	n.a.
Taiwan Puritic	6826 TT	455.5	Non rated	1,223	1.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Trusval	6667 TT	278.5	Non rated	468	2.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Cica-Huntek	6725 TT	217.0	Non rated	253	0.8	12.5	10.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Industry average						18.7	14.2	12.4	31.5	44.9	45.2	39.8	7.5	6.4	5.0	3.7	4.9	4.2

Source: Bloomberg; *Daiwa forecasts

Our 12-month TP of TWD1,415 is also supported by our DCF valuation

We also reference a DCF methodology (see charts below), which indicates a DCF-derived fair value estimate of TWD1,454/share, which supports our 12-month TP of TWD1,415.

In our DCF calculation, we apply a WACC of 19.3% to Acter's FCF over 2026-35E and a terminal growth rate of 7.0% thereafter. We expect the company to continue to record steadily increasing FCF over 2026-35E.

Acter: DCF calculation

Target gearing (debt/capital)	0.7%
Market risk premium (%)	18.0%
Risk-free rate (%)	5.0%
Cost of debt (%)	5.0%
Cost of equity (%)	19.4%
WACC (%)	19.3%
Terminal growth rate	7.0%
Terminal WACC	19.3%
Enterprise value (TWDm)	167,994
Less: net debt (as of end-2025) (TWDm)	-12,402
Equity value (TWDm)	180,396
No. shares (m)	124
Per share equity value (TWD)	TWD1,454

Source: Company, Daiwa estimates

Acter: DCF sensitivity

		WACC (%)				
		18.9	19.1	19.3	19.5	19.7
Terminal growth rate (%)	8.0	1,571	1,545	1,520	1,496	1,473
	7.5	1,533	1,509	1,486	1,463	1,442
	7.0	1,498	1,476	1,454	1,433	1,413
	6.5	1,466	1,445	1,425	1,405	1,386
	6.0	1,437	1,417	1,398	1,379	1,361

Source: Daiwa estimates

Acter: free cash flow forecasts

(TWDm)	2026E	2027E	2028E	2029E	...	2035E
EBITDA	10,482	14,182	18,610	22,332	...	66,683
Less: taxation (EBIT*tax rate)	-2,447	-3,293	-4,355	-5,226	...	-15,605
Plus: decrease in working capital	-2,122	-1,006	-1,946	-1,946	...	-1,946
Less: capital expenditure	-150	-180	-180	-180	...	-180
Free cash flow (TWDm)	5,763	9,703	12,129	14,980	...	48,952
Discount rate	19.3%	19.3%	19.3%	19.3%	...	19.3%
Discount factor	0.96	0.80	0.67	0.56	...	0.20
NPV of free cash flow	5,510	7,776	8,145	8,432	...	9,558

Source: Daiwa estimates and forecasts

Risks to our call

Primary/key risks:

Weaker-than-expected expansion in semiconductor industry

The biggest downside risk to our call for Acter is weaker-than-expected expansion from semiconductor clients, especially in advanced-node foundries, advanced packaging and OSAT. If global demand for AI servers, HPC or HBM slows, or if clients delay fab build-ups and overseas expansion plans, it will directly pressure order inflows and backlog conversion for Acter.

Project execution delays or cancellations

Acter's revenue recognition is tied to large, complex EPCM and integrated engineering projects, which are often subject to customer-driven delays. Any postponement in project

**Key risks to our call:
weaker-than-expected
expansion in
semiconductor industry,
project delays or
cancellations, and
higher-than-expected
raw-material price hikes**

schedule, construction bottlenecks or cancellation of large projects could defer revenue recognition and hurt overall profit. This risk is more obvious in overseas projects, where licensing, fire-safety approvals and hazardous-chemical regulations are more complicated.

Higher-than-expected raw-material price hikes

Raw-material costs (especially copper and oil-related costs) account for 50-60% of COGS and thus the price volatility makes costs difficult to manage. Acter needs to maintain supplier relations, negotiate appropriate price-adjustment mechanisms with clients, and invest in R&D to identify composite material substitutes, thereby reducing reliance on any single component.

Secondary risks:

Labour issues or larger-than-expected increases in labour costs

Cleanroom engineering is highly labour-intensive and relies on on-site installation and supervision. Although Acter has built a local hiring and talent-development model, a larger-than-expected shortage of engineers or rising wage pressure could still raise costs and constrain capacity expansion. Any inability to secure enough skilled labour may also limit the company's ability to convert orders into revenue in time.

Margin pressure from lower-margin projects or mix shift

Acter's business mix includes a few low-margin C&S services as well as larger EPCM and system integration contracts. If the company takes on a higher proportion of lower-margin projects, or if competition intensifies in certain geographies or customer segments, gross margin could come under pressure. In addition, an unfavourable product mix shift towards less profitable work could offset benefits from backlog growth.

Overseas expansion and regulatory risks

Acter is expanding across markets in the US, Southeast Asia, Japan and China, which exposes it to FX movements, local compliance requirements, tax complexity and regulatory uncertainty. Delays in licensing, changes in safety standards or local-content requirements could increase project costs and reduce execution efficiency. Any misstep in managing overseas operations could damage profitability and client retention.

Appendix

Company background

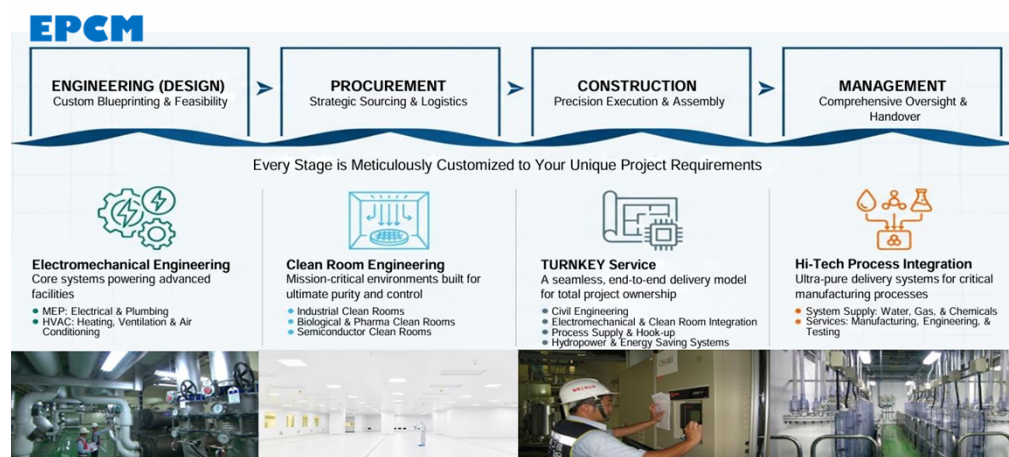
History

Comprehensive cleanroom EPCM provider in Taiwan; dominates both high-tech market and consumer industry

Acter (5536 TT), founded in 1979 and headquartered in Taichung, Taiwan, is a cleanroom EPCM provider with over four decades of experience. Starting with early mechanical and electrical (M&E) engineering through vertical and horizontal integration, Acter has now developed into an engineering technology group with cross-border execution capabilities. A cleanroom building process begins with **civil & structural (C&S) works** to establish the physical plant, followed by **mechanical, electrical, and plumbing (MEP) works** for essential utility generation, where Acter is one of the experts. After MEP is finished, chemicals/gas/water are then distributed via main systems **through primary piping networks**, and finally delivered to production equipment through **hook-up systems**. The company's core competency is providing one-stop integrated total solutions, spanning services, primary piping networks and hook-up systems, leaving C&S services to other engineering peers, given the nature of the latter segment's low margin and long timespan.

In terms of business model, Acter delivers EPCM (Engineering, Procurement, Construction, Management) capabilities. From initial customised planning and feasibility assessments to strategic procurement, installation, and post-completion maintenance, Acter builds production environments tailored to client process requirements.

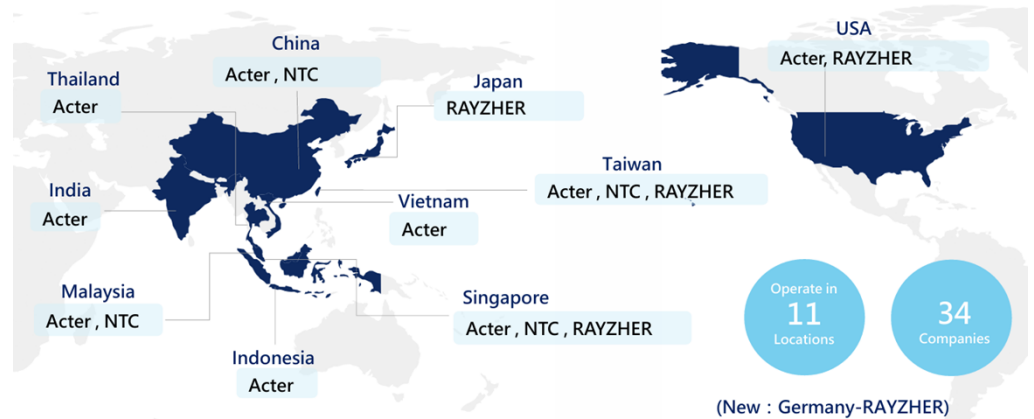
Acter: EPCM solutions offered



Source: Company, Daiwa

Regarding global expansion, Acter actively responds to the global supply chain's "N+1" strategy, operating across 11 regions with 33 companies globally. Its service network spans Taiwan, China, Southeast Asia (including Thailand, Malaysia, Vietnam, Indonesia, and Singapore), Japan, India, and the US. The company leverages a group synergy strategy by integrating resources from key subsidiaries – such as Novatech (6613 TT, not rated; provides chemical primary and hook-up systems), Rayzher (7703 TT, not rated; provides special gas primary and hook-up supply systems), and Acter Group (603163 CH, not rated; provides cleanroom engineering in China) – to form a complete technical ecosystem, ensuring cross-border capability and quality.

Acter: global footprint



Source: Company, Daiwa

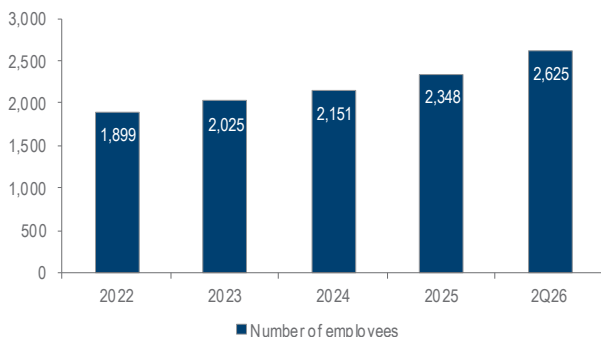
In 2Q26, Acter classified revenue as: cleanroom electromechanical (63%), water, gas and chemical delivery systems (28%), consumer industry electromechanical (6%), biomedical (2%) and high-tech equipment & materials sales & services (1%). In 2025, the product mix was: cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).

Young, capable human resource is a crucial asset for Acter

Acter serves a diversified client base divided into high-tech and consumer divisions. The high-tech division focuses on advanced sectors including semiconductors, OSAT, PCB, AI data centres (for CSPs), and electronics assembly. The consumer division extends into healthcare, premium commercial properties, logistics facilities, and green engineering. This multi-industry strategy allows the company to capitalise on tech sector upgrades while maintaining resilient operations across technology (especially semiconductor) cycles.

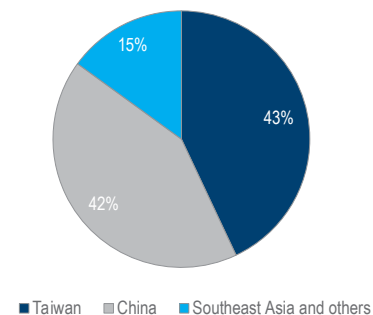
Acter adopts a management strategy involving local hiring in overseas markets, prioritising collaboration with local supply chains and compliance with local regulations to reduce cross-border deployment costs and thus build strong local teams. Acter has more than 2,600 employees worldwide (average age: 42 years; average length of service: 7 years). With more than 45 years of experience in EPCM, the company plays a reliable role for both high-tech and consumer industry.

Acter: number of employees



Source: Company, Daiwa

Acter: location of employees (as of June 2026)



Source: Company, Daiwa

Furthermore, Acter integrates ESG sustainability into its core corporate identity and technological innovation. As a green engineering provider, the company develops energy-saving construction methods, digital twins, ice-storage energy conservation, wastewater recycling, and AI smart facility management systems to help clients achieve carbon neutrality while expanding capacity. Backed by solid corporate governance, Acter

Acter integrates ESG capabilities into its core corporate value

consistently ranks among the top performers in Taiwan's corporate governance evaluations, maintaining a stable dividend payout policy and strong ROE as one of the leading facility engineering vendors.

Acter: management team (according to 2025 annual report)

Management	Position	Background and experience
Liang, Chin-Li	Chairman/CEO	Director since founding the company in 2008. Liang possesses working experience related to refrigeration and air-conditioning; graduated from EMBA, National Chiao Tung University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Hu, Tai-Tsen	Director	Director since founding the company in 2009. Hu possesses working experience related to refrigeration and air-conditioning; graduated from EMBA, Tunghai University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Lai, Ming-Kun	President	Graduated from EMBA, National Taiwan University of Science and Technology, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Wang, Chun-Sheng	President	Graduated from EMBA, Feng Chia University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech

Source: Company

Acter: major shareholders (as of August 2026)

Holder	Share (%)
Xiang-Hui Development Co., Ltd.	4.35%
Chiu-Chang Investment Co., Ltd.	3.96%
Liang, Chin-Li	3.72%
JFE Engineering Co., Ltd.	2.23%

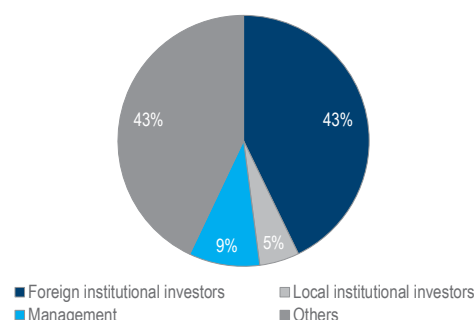
Source: TEJ

Acter: QFII holdings



Source: TEJ

Acter: shareholding structure (as of September 2026)



Source: TEJ

Glossary of terms

EPCM (engineering, procurement, construction, and management): Cleanroom construction services that cover the whole process including project design, purchasing, construction and management.

BIM (building information modelling): A digital modelling system of a building and its key information used in cleanroom construction.

C&S (civil & structural): Site infrastructure and the design and construction of load-bearing elements.

MEP (mechanical, electrical, and plumbing): Building essential systems for environment control, power, lighting, water, and drainage.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 Acter maintains a structured governance framework that supports disciplined management. The chairman is Chin-Li Liang. The company operates with defined responsibility across the board, management, cyber security oversight, operations, and audit functions. It has established an organisation function led by the President, a Chief Cyber Security Officer, a Response Team, an Operations and Policy Enforcement Team, and an Audit Team to supervise policy execution and review security implementation.
	Capital management	1 Acter manages capital in a stable and shareholder-friendly manner. Over the past several years, Acter has typically maintained a dividend payout ratio of 65-80%. It also maintains a strong financing network across multiple banks, supporting flexibility for project execution and expansion while preserving financial stability.
	Related party & transaction	1 Acter's business is supported by a transparent network of suppliers, project partners, and financial counterparties, including companies with equity ties and reciprocal business relationships that are common in its operating ecosystem. These relationships are managed through formal internal procedures for fund lending, endorsements and guarantees, and asset acquisition and disposal, all of which are approved through shareholder mechanisms and company rules. Such a structure helps keep inter-company and supply-chain transactions organised and traceable, reducing the risk of unclear dealings.
E	Product quality & safety	1 Acter executes its projects through a complete, disciplined process covering bidding assessment, project planning, design, procurement, construction management, verification and testing, completion and acceptance, closing review, and warranty service. Its cleanroom and electromechanical engineering business is built around maintaining temperature, humidity, and dust-free environments that support high-precision manufacturing. The company strengthens quality control through BIM, Revit, simulation software, ISO drawing output tools, and automated modeling, which improve design accuracy, construction efficiency, and project consistency.
E	Ecological impacts	1 Acter has built a concrete sustainability programme with measurable environmental outcomes. The company completed Scope 1, 2, and 3 greenhouse gas emissions calculation, obtained third-party verification under ISO 14064-1:2018, and publicly disclosed energy consumption and emissions data. It also implemented a strong waste reduction programme, achieving a 95% wastepaper recycling rate at headquarters in 2025 and 100% paper recycling at the 19F and 20F floors after establishing paper segregation and reuse procedures. The company also promoted sustainability measures through emissions inventory management, environmental disclosures, and resource-efficiency practices. These actions show active environmental management and a clear commitment to lowering operational impact.
	Health & safety	

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 Oct 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.

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